

million beneficiaries, or nearly two-thirds of the country's population.

The extension makes for good optics, and is being seen as the Bharatiya Janata Party (BJP)-led government's largesse to woo voters in the ongoing state elections, and has rankled the Opposition that called it a violation of the model code of conduct. But in terms of the fiscal math, it may not have much of an impact. Government officials and experts believe the Centre is likely to meet its fiscal deficit target of 5.9 per cent of the GDP for the current financial year. The fiscal deficit is the difference between the government's expenditure and its

14.6 per cent lower than the ₹1.16 lakh crore spent between April and September 2022.

This is much in line with the Centre's overall expenditure trend as well, where only 47.1 per cent of the overall expenditure target of ₹45.03 lakh crore for the fiscal was spent between April and September 2023, with a greater focus on capital expenditure. Revenue receipts have been robust at ₹13.9 lakh crore in the period, or 53 per cent of the Budget Estimates.

However, with five months of the fiscal year still left, the question is whether revenue expenditure will see a massive push in the

achal Pradesh and Gujarat, the government announced the merger of the PMGKAY with the National Food Security Act for providing free food grain to Antodaya Anna Yojana (AAY) and Primary Household (PHH) beneficiaries for a year.

Nomura economists Aurodeep Nandi and Sonal Varma, in a recent note, also said the near-term macro implications should be muted. "Over the medium term, the government is likely to forego revenues from its subsidised food sales (0.05 per cent of GDP on an annualised basis). As procurement costs increase, the food subsidy bill will also increase. Importantly, while

BIG NUMBERS

813.5

million

**PEOPLE TO BENEFIT
FROM THE EXTENSION
OF THE SCHEME FOR
FIVE YEARS**

₹3.91

lakh crore

**TOTAL EXPENDITURE
UNDER THE SCHEME
FROM 2020-21 TO
2022-23**

₹2

lakh crore

**ESTIMATED
EXPENDITURE BY
CENTRE IN 2023 ON
FOOD SUBSIDY**

111.8

million tonnes

**OF FOODGRAIN
ALLOCATED UNDER
THE SCHEME FOR 28
MONTHS**

revenue. But, for now, buoyant tax revenue and controlled expenditure are expected to cushion the impact of continuing the scheme.

THE MATH

Consider this: between 2020-21 and 2022-23, the central government has spent a total of ₹3.91 lakh crore on the PMGKAY. For the one-year period starting January 1, 2023, the likely expenditure on the scheme is ₹2 lakh crore. In the first six months of the current fiscal, the central government spent ₹99,243.92 crore on the food subsidy bill. This was about

backdrop of the impending General Elections.

"The fiscal burden on account of the extension of the PMGKAY is limited, as the government has been able to absorb its impact given that it has been continuing for some time. It is also a welfare measure and is aimed primarily at low-income groups," notes D.K. Srivastava, Chief Policy Advisor of EY India, while cautioning that there could be pressure if global crude oil prices remain volatile.

To be sure, this isn't the scheme's first extension. Last December, ahead of elections in Him-

achal Pradesh and Gujarat, the government announced the merger of the PMGKAY with the National Food Security Act for providing free food grain to Antodaya Anna Yojana (AAY) and Primary Household (PHH) beneficiaries for a year.

WELFARE BILL

Experts are also closely monitoring the impact of volatile crude oil prices and higher outlays for other welfare schemes. Crude oil prices, particularly, continue to be a worry in light of the conflict in the Middle East. The Centre is expected to maintain the pause on retail crude oil prices in a bid to keep inflation